

These different risks, irrespective of their sizes, are identified. And then, they are used to identify a discount against each of them. And then, the risk factors are considered with growth opportunities to arrive at a valuation.



COMPETITOR RISK:

If there are a lot of competitors in the same space

Due to these risk factors I want more 5% of the company at the same price.



Naturally, this can be highly complex for founders from both financial and non-financial backgrounds, as the calculations are quite subjective. Thus, this method is hardly used in day-to-day discussions, especially for early stage startups.

For early stage startups. If a startup has existed for long, a sales multiple is assigned and then discounts are calculated based on risks.